Tata Consultancy Services (TCS) — 5-year DCF valuation (consolidated, ₹ crore)

Sources: S&P Global Market Intelligence data via stockanalysis.com (FY2022–26 statements; cash, debt and share count at 30-Sep-2026), TCS Q2 FY27 results (8-Oct-2026), and the market inputs listed in the source table on page 2. Method: FCFF = EBIT × (1 − tax) + D&A − CapEx − increase in NWC; EBIT excludes other income; D&A excludes right-of-use depreciation (leases are treated as debt); CapEx includes intangibles; cash acquisitions excluded; no stock-based compensation. Re = Rf + β × ERP; WACC = E/(D+E) × Re + D/(D+E) × Rd × (1 − t). Valued at the 30-Sep-2026 balance sheet, so only the remaining ~0.50 of FY2027 is counted; cash flows at year-ends. All figures are read from the workbook's live formulas. Educational model, not investment advice.

DCF result vs market price

Metric	Value	Note
DCF value per share (₹)	2,072	Base case
Market price (₹)	2,459.10	NSE, 19-Oct-2026 (intraday, delayed); ex the ₹12 dividend
Gap (DCF ÷ price − 1)	-15.7%	DCF value is below the market price
WACC	11.91%	Re 11.95% = 7.15% + 0.80 × 6.0%; debt (leases) is only 1.3% of capital
Terminal growth	4.5%	Below the ~7.15% 10-year G-sec yield
Enterprise value (₹ cr)	711,529	PV of FCFF 184,846 + PV of terminal value 526,683
Equity value (₹ cr)	749,750	+ cash 51,024 − leases 11,808 − minorities 995
Terminal value as % of EV	74.0%	Within the 70–85% guide range
Exit-multiple cross-check (₹)	2,403	11.4x EV/EBITDA (TCS current); that multiple implies perpetual growth of 5.8%
Market-implied WACC	10.70%	Reverse DCF: equals a beta of about 0.60 (base 0.80)
Market-implied extra growth	+4.3 pp / yr	Revenue growth would need to be 13.8% (FY27) falling to 9.3% (FY31)
Sensitivity range (₹)	1,696 – 2,725	WACC ±1% × g ±1%; 3 of 25 cells are above the price

Historical (FY2022–26) and forecast (FY2027–31E)

₹ crore	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	191,754	225,458	240,893	255,324	267,021	292,388	309,931	328,527	346,596	363,926
Revenue growth	n/a	17.6%	6.8%	6.0%	4.6%	9.5%	6.0%	6.0%	5.5%	5.0%
EBIT margin	25.3%	24.1%	24.6%	24.3%	25.0%	24.2%	24.4%	24.5%	24.5%	24.5%
Tax rate	25.6%	25.7%	25.6%	25.3%	24.5%	25.0%	25.0%	25.0%	25.0%	25.0%
D&A; % of revenue	1.59%	1.50%	1.36%	1.34%	1.34%	1.35%	1.35%	1.35%	1.35%	1.35%
CapEx % of revenue	1.55%	1.28%	1.09%	1.93%	1.72%	1.60%	1.60%	1.60%	1.60%	1.60%
Increase in NWC % of revenue	1.44%	1.87%	2.86%	1.32%	0.83%	1.50%	1.40%	1.30%	1.20%	1.10%
FCFF	33,332	36,602	37,852	41,573	47,269	47,952	51,604	55,275	58,661	61,958
FCFF margin	17.4%	16.2%	15.7%	16.3%	17.7%	16.4%	16.7%	16.8%	16.9%	17.0%
PV of FCFF						22,606	43,596	41,727	39,571	37,347

Shaded columns are forecasts. FY2022 growth is n/a (FY2021 revenue not entered). FY2027E FCFF is a full-year figure; only about half is counted in the valuation (stub period).

Sensitivity: value per share (₹), WACC (down) × terminal growth (across); green = above the ₹2,459 price

WACC \ g	3.5%	4.0%	4.5%	5.0%	5.5%
10.91%	2,130	2,246	2,381	2,538	2,725
11.41%	2,001	2,101	2,215	2,348	2,503
11.91%	1,887	1,974	2,072	2,185	2,315
12.41%	1,786	1,862	1,947	2,044	2,155
12.91%	1,696	1,762	1,837	1,921	2,017

Assumptions (one line of reasoning each; full text on the Assumptions tab)

- **Revenue growth 9.5% → 6.0% → 6.0% → 5.5% → 5.0%.** H1 FY27 revenue ₹145,463 cr is +12.6% YoY (Q1 was +13.9% in INR but only +3.2% in constant currency, so the rupee explains much of it) and Q2's run-rate implies ~9–10% for FY27; July 2026 consensus was 9.0% (range 7.1–11.1%). The fade targets ~4.5% long-run growth; consensus FY28 is only ~4.4% on thin coverage and AI-led price deflation is a risk.
- **EBIT margin 24.2% → 24.5%.** Q1 and Q2 FY27 operating margin were both 24.0% (FY26: 25.0%); consensus FY27 ~24.6%; the 5-year average is 24.7%. **Tax 25%** (effective rate 24.5–25.7% over FY22–26).
- **D&A 1.35%, CapEx 1.6%, NWC increase 1.5% → 1.1% of revenue.** D&A steady at 1.34–1.36% for three years; CapEx ran 1.7–1.9% in FY25–26 (5-year average 1.5%); NWC averaged 1.7%, fading as growth slows.
- **Risk-free 7.15%, ERP 6.0%, beta 0.80.** The 10-year G-sec was ~7.17% on 28-Sep-2026. Damodaran's Jan-2026 India total ERP is 7.08%; 6.0% avoids double-counting the sovereign spread already in the rupee yield. TCS's observed 5-year beta is only 0.18, which is not usable; 0.80 is a judgment (IT-services betas are typically 0.7–1.0).

Why the DCF and the market price differ

- **Growth and margins.** The price needs about 4.3 pp more revenue growth every year (13.8% in FY27 falling to 9.3% in FY31) or a much longer runway than five years. My Year 1 (9.5%) is already above the 9.0% consensus, so the market is pricing AI-led re-acceleration, rupee tailwinds or share gains that the base case omits.
- **Discount rate.** The price is consistent with a WACC of 10.7% against my 11.9%, i.e. a beta near 0.60. Beta is the most judgment-heavy input: 3 of 25 cells in the beta × ERP grid are above the price.
- **Terminal assumptions.** WACC and g alone move the value from ₹1,696 to ₹2,725. A WACC about 1 pp lower together with g about 0.5 pp higher roughly closes the gap. Terminal value is 74% of EV.
- **What a DCF captures poorly.** Brand and client moat, AI optionality (annualised AI revenue passed US$3.1 bn in Q2 FY27, over 10% of revenue), a ~4.5% dividend yield, rupee depreciation lifting INR growth, and sentiment toward IT services.
- **Model-error checks.** Shares 361.8 cr (3,618 mn); leases included as debt (₹11,808 cr); no stock-based compensation to adjust; FY26 EBIT is before ₹1,388 cr restructuring, ₹819 cr legal and ₹2,018 cr other unusual items (their cash cost is not in FCFF); FY26 acquisitions (₹6,768 cr) are excluded from organic FCFF.

Verdict and what to monitor

- **On these assumptions TCS trades above its DCF value** (₹2,072 vs ₹2,459, -15.7%). This is not a sell signal: the result is highly sensitive to beta, WACC and growth, and the market price needs only a ~1 pp lower WACC or a modestly longer growth runway. Analyst average targets are ₹2,390–2,470 (S&P consensus).
- **Limitations.** Data is from an aggregator (S&P via stockanalysis.com), not typed from the annual report; one scenario only; exit multiple uses TCS's own 11.4x rather than a peer median; Year 1 is split by time, ignoring seasonality; the price is intraday and delayed; minority interests are at 30-Jun-2026.
- **Monitor next.** H2 FY27 revenue growth against the ~9–10% assumed; operating margin against 24.0–24.5%; AI revenue and deal wins (Q2 TCV US$9.6 bn); the 10-year G-sec yield; cash conversion (Q2 operating cash flow was 102% of net profit).

Likely interview questions (answers from these numbers)

Q1. Why is WACC 11.9% for a company with almost no debt? Debt is only leases (₹11,808 cr, 1.3% of capital), so WACC ≈ cost of equity: 7.15% + 0.80 × 6.0% = 11.95%. Indian large caps usually land at 10–13%.

Q2. Why is your value below the market price? Reverse DCF: the price implies a WACC of 10.7% (beta ≈ 0.60) or about 4.3 pp more revenue growth every year. Either the market uses a lower discount rate than I do, or it expects growth beyond the 5-year horizon.

Q3. Is a terminal value of 74% of EV a problem? It is inside the usual 70–85% range. The Gordon-growth terminal value implies 9.3x EBITDA versus ~11.4x for TCS today; at an 11.4x exit multiple the value would be ₹2,403, so the terminal assumption is on the cautious side.

Q4. How did you treat cash, leases and other income? FCFF excludes other income (interest and investment income), so the ₹51,024 cr of cash and investments is added in the equity bridge instead. Leases are debt-like: lease depreciation stays as a cost and lease liabilities are subtracted.

Q5. Why count only about half of FY2027? Cash at 30-Sep-2026 already contains H1 FY27 cash flow. Counting the full year would double-count it, so Year 1 is weighted by the 0.50 of the year remaining and discounted from the balance-sheet date.

Deliverables: TCS_DCF_Model.xlsx (Summary, Historical, Assumptions, WACC, DCF, Sensitivity, Reverse_DCF) + this PDF. Not done: bull/bear scenarios, peer-multiple cross-check, annual-report tie-out.

Sources: where each input came from

All web pages were accessed on 23 October 2026 (the dates shown are each page's own "last updated" or price timestamp). S&P Global Market Intelligence data is reported in ₹ million; the model divides by 10 to get ₹ crore. A = data used directly in the model; J = my judgment, not sourced data.

#	Input used in the model	Value(s)	Source (name and URL)	Page date
1	Revenue, EBIT (operating income), pre-tax income, income tax, interest expense, FY2022–26 (A)	e.g. FY26 revenue ₹267,021 cr; EBIT ₹66,857 cr; tax ₹16,033 cr	stockanalysis.com, TCS income statement (data: S&P Global Market Intelligence) https://stockanalysis.com/quote/nse/TCS/financials/income-statement/	Updated 9-Jul-2026
2	D&A, CapEx (PPE and intangibles), change in working capital, cash acquisitions, operating cash flow (A)	FY26 CapEx ₹4,224 cr + ₹367 cr; ΔWC −₹2,210 cr; acquisitions ₹6,768 cr	stockanalysis.com, TCS cash flow statement https://stockanalysis.com/quote/nse/TCS/financials/cash-flow-statement/	Updated 9-Jul-2026
3	Lease liabilities (total debt), cash and short-term investments FY2022–26; minority interests at 30-Jun-2026 (A)	FY26 leases ₹11,283 cr; cash ₹41,080 cr; minorities ₹995 cr	stockanalysis.com, TCS balance sheet https://stockanalysis.com/quote/nse/TCS/financials/balance-sheet/	Updated 9-Jul-2026
4	Share price, shares outstanding, cash and debt at 30-Sep-2026, beta (5-year), EV/EBITDA, tax rate (A)	₹2,459.10; 3,618 mn shares; cash ₹51,024 cr; leases ₹11,808 cr; beta 0.18; EV/EBITDA 11.4x	stockanalysis.com, TCS statistics https://stockanalysis.com/quote/nse/TCS/statistics/	Price 19-Oct-2026 1:10 PM IST; data 18-Oct-2026
5	Analyst consensus: FY27 revenue growth, operating income, price targets (A, used as a cross-check)	FY27 growth 9.0% (7.1–11.1%); operating margin ~24.6%; target ₹2,470 (Jul) / ₹2,390 (Oct)	stockanalysis.com, TCS forecast (S&P Global) https://stockanalysis.com/quote/nse/TCS/forecast/	Updated 13-Jul-2026
6	Q2 FY27 results: revenue ₹73,188 cr, operating margin 24.0%, net margin 19.0%, operating cash flow 102.2% of profit (A)	Used for Year-1 growth and margin assumptions	TCS Q2 FY27 fact sheet (company) https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2026-27/q2/Presentations/Q2%202026-27%20Fact%20Sheet.pdf	8-Oct-2026
7	Q2 FY27 press coverage: revenue +11.2% YoY, AI revenue US$3.1 bn, ₹12 dividend (record date 14-Oct), net profit ₹13,884–13,934 cr (outlets differ)	Narrative inputs only; profit not used in the model	Free Press Journal: https://www.freepressjournal.in/business/tcs-net-profit-up-025-to-13884-crore-in-q2-fy27-revenue-rises-to-73188-crore Business Today: https://www.businesstoday.in/markets/stocks/story/tcs-q2-fy27-results-net-profit-rises-15-to-rs-13934-crore-declares-rs-12-dividend-560435-2026-10-08	8-Oct-2026
8	H1 FY27 revenue ₹145,463 cr and Q1 FY27 revenue ₹72,275 cr vs ₹63,437 cr a year earlier (basis for the FY27 growth estimate) (A)	H1 +12.6% YoY; Q1 +13.9% in INR, +3.2% in constant currency; Q4 FY26 ₹70,698 cr	TCS Q1 FY27 press release (company) https://www.tcs.com/content/dam/tcs/investor-relations/financial-statements/2026-27/q1/IND%20AS/Press%20Release%20-%20INR.pdf Free Press Journal (Q1): https://www.freepressjournal.in/business/tcs-reports-14-revenue-growth-in-q1-fy27-net-profit-rises-47-to-13420-crore-despite-legal-settlement-charge Angel One (H1 total): https://www.angelone.in/news/stocks/tcs-share-price-in-focus-after-q2-fy27-earnings-results-total-income-up-11-8-yoy	9-Jul-2026 and 8-Oct-2026
9	Deal wins: Q2 total contract value US$9.6 bn (narrative only)	Not a model input	Upstox https://upstox.com/news/market-news/earnings/tcs-q2-results-net-profit-rises-15-to-13-884-crore-revenue-jumps-11-yo-y-tcv-rises-to-9-6-billion/article-201534/	8-Oct-2026
10	Risk-free rate: India 10-year G-sec yield (A)	7.15% used; ~7.17% reported on 28-Sep-2026	Trading Economics https://tradingeconomics.com/india/government-bond-yield/news/587153	28-Sep-2026
11	Equity risk premium reference (A, reference only)	India total ERP 7.08%, country risk premium 2.85% (Jan-2026); 6.0% used	Damodaran, country risk premiums (NYU Stern) https://pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/ctryprem.html US mature-market ERP 4.23% (Jan-2026): BVWire, https://bvresources.com/articles/bvwire/damodaran-posts-his-first-data-update-for-2026	Updated 5-Jan-2026
12	Beta 0.80, ERP 6.0%, terminal growth 4.5%, growth and margin paths, exit multiple 11.4x (J)	My assumptions with one-line reasons on the Assumptions tab	Judgment; compare with items 4, 5, 10 and 11	–

Data quality notes

- The financial statements are standardised by S&P Global Market Intelligence and republished by stockanalysis.com; they are **not** copied from TCS's annual report. Cross-check key lines (revenue, operating income, capex, leases, cash) against TCS's own filings at tcs.com (Investors section), e.g. the Q2 FY27 fact sheet in row 6, before submitting.
- "D&A excluding right-of-use depreciation" is S&P's "D&A for EBITDA". I inferred that the gap to total D&A is lease depreciation because it matches lease principal paid (FY26: ₹1,866 cr vs ₹1,861 cr). This is an inference, not a disclosed figure.
- Cash and debt are at 30-Sep-2026 (statistics page) but minority interests are at 30-Jun-2026, the latest figure available to me. The share price was an intraday, delayed quote; update it to the latest close before using the result.
- Press reports of Q2 net profit differ (₹13,884 cr vs ₹13,934 cr); the model does not use quarterly profit. The balance-sheet and cash-flow rows were last updated by the source on 9-Jul-2026, so TTM and FY26 values pre-date the Q2 results.